

SENATE CHAMBER

STATE OF OKLAHOMA

DISPOSITION

☒ FLOOR AMENDMENT

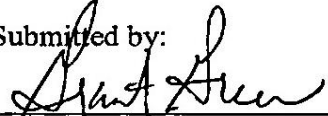
No. 1

☐ COMMITTEE AMENDMENT

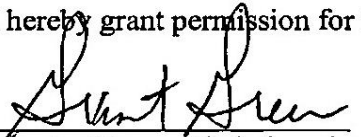
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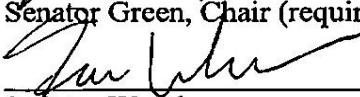
I move to amend House Bill No. 1371 by substituting the attached floor substitute (Request #3893) for the title, enacting clause, and entire body of the measure.

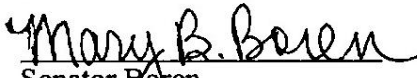
Submitted by:


Senator Green

I hereby grant permission for the floor substitute to be adopted.


Senator Green, Chair (required)


Senator Woods

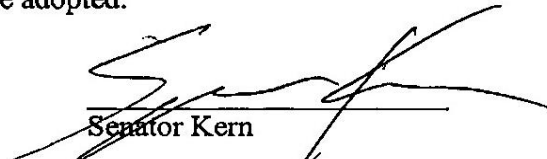

Senator Boren

Senator Dossett

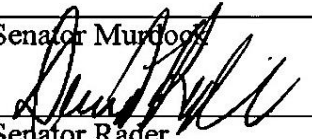
Senator Frix

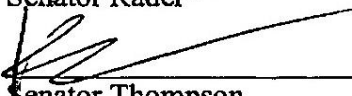
Senator Jett

Senator Paxton, President Pro Tempore


Senator Kern

Senator McIntosh


Senator Rader


Senator Thompson

Senator Daniels, Majority Floor Leader

Note: Energy committee majority requires six (6) members' signatures.

Green-CN-FS-HB1371

4/14/2026 11:27 AM

(Floor Amendments Only)

Date and Time Filed: 4-14-26 1:50 PM 

☐ Untimely

☐ Amendment Cycle Extended

☐ Secondary Amendment

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR ENGROSSED

HOUSE BILL NO. 1371

By: Boles of the House

and

Green of the Senate

FLOOR SUBSTITUTE

[oil and gas - interest - remittance - escrow
account - written notice - relief of liability -
rights - proof - obligation - effective date]

~~BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:~~

SECTION 1. AMENDATORY 52 O.S. 2021, Section 570.10, is
amended to read as follows:

Section 570.10. A. All proceeds from the sale of production
shall be regarded as separate and distinct from all other funds of
any person receiving or holding the same until such time as such
proceeds are paid to the owners legally entitled thereto. Any
person holding revenue or proceeds from the sale of production shall
hold such revenue or proceeds for the benefit of the owners legally
entitled thereto. Nothing in this subsection shall create an
express trust.

B. Except as otherwise provided in this section:

1 1. Proceeds from the sale of oil or gas production from an oil
2 or gas well shall be paid to persons legally entitled thereto:

3 a. commencing not later than six (6) months after the
4 date of first sale, and

5 b. thereafter not later than the last day of the second
6 succeeding month after the end of the month within
7 which such production is sold.

8 2. Notwithstanding paragraph 1 of this subsection, royalty
9 proceeds from the sale of gas production from an oil or gas well
10 remitted to the operator pursuant to subsection B of Section 570.4
11 of this title shall be paid to persons legally entitled thereto:

12 a. commencing not later than six (6) months after the
13 date of first sale, and

14 b. thereafter not later than the last day of the third
15 succeeding month after the end of the month within
16 which such production is sold; provided, however, when
17 proceeds are received by the operator in its capacity
18 as a producing owner, the operator may pay the royalty
19 share of such proceeds to the royalty interest owners
20 legally entitled thereto at the same time that it pays
21 the royalty proceeds received from other producing
22 owners for the same production month, but not later
23 than the last day of the third succeeding month after
24

1 the end of the month within which such production was
2 sold.

3 3. a. Proceeds from production may be remitted to the
4 persons entitled to such proceeds annually for the
5 twelve (12) ~~months~~ months' accumulation of proceeds
6 totaling at least Ten Dollars (\$10.00) but less than
7 One Hundred Dollars (\$100.00). Amounts less than Ten
8 Dollars (\$10.00) may be held but shall be remitted
9 when production ceases or by the payor upon
10 relinquishment of payment responsibility.

11 b. Proceeds totaling less than One Hundred Dollars
12 (\$100.00) but more than Twenty-five Dollars (\$25.00)
13 shall be remitted monthly if requested by the person
14 entitled to the proceeds. Amounts less than Ten
15 Dollars (\$10.00) shall be remitted annually if
16 requested by the person entitled to the proceeds.

17 c. Before proceeds greater than Twenty-five Dollars
18 (\$25.00) may be accumulated, the payor shall provide
19 notice to the person owning interest, as defined in
20 Section 570.2 of this title, entitled to such proceeds
21 that there is an option to be paid monthly for
22 proceeds greater than Twenty-five Dollars (\$25.00).
23 Such notice to the person shall also provide
24 directions for requesting monthly payment, and

1 constitutes notice to all heirs, successors,
2 representatives, and assigns of the person.

3 4. Any delay in determining the persons legally entitled to
4 proceeds from production caused by unmarketable title shall not
5 affect payments to persons whose title is marketable, or that
6 portion of a person's interest which is marketable.

7 C. 1. A first purchaser that pays or causes to be paid
8 proceeds from production to the producing owner of such production
9 or, at the direction of the producing owner, pays or causes to be
10 paid royalty proceeds from production to:

11 a. the royalty interest owners legally entitled thereto,

12 or

13 b. the operator of the well,

14 shall not thereafter be liable for such proceeds so paid and shall
15 have thereby discharged its duty to pay those proceeds on such
16 production.

17 2. A working interest owner that pays or causes to be paid
18 royalty proceeds from production to:

19 a. the royalty interest owners legally entitled thereto,

20 or

21 b. the operator of the well,

22 shall not thereafter be liable for such proceeds so paid and shall
23 have thereby discharged its duty to pay those proceeds on such
24 production.

1 3. An operator that pays or causes to be paid royalty proceeds
2 from production, received by it as an operator, to the royalty
3 interest owners legally entitled thereto shall not thereafter be
4 liable for such proceeds so paid and shall have thereby discharged
5 its duty to pay those proceeds on such production.

6 4. Where royalty proceeds are paid incorrectly as a result of
7 an error or omission, the party whose error or omission caused the
8 incorrect royalty payments shall be liable for the additional
9 royalty proceeds on such production and all resulting costs or
10 damages incurred by the party making the incorrect payment.

11 D. 1. Except as otherwise provided in paragraph 2 of this
12 subsection, where proceeds from the sale of oil or gas production or
13 some portion of such proceeds are not paid prior to the end of the
14 applicable time periods provided in this section, that portion not
15 timely paid shall earn interest at the rate of ~~twelve percent (12%)~~
16 fifteen percent (15%) per annum ~~to be compounded annually,~~
17 calculated from the end of the month in which such production is
18 sold until the day paid.

19 2. a. Where such proceeds are not paid because the title
20 thereto is not marketable, such proceeds shall earn
21 interest at the rate of ~~(i)~~ six percent (6%) per annum
22 ~~to be compounded annually~~ for time periods prior to
23 November 1, 2018, and ~~(ii)~~ the prime interest rate as
24 reported in the Wall Street Journal for time periods

1 on or after November 1, 2018, calculated from the end
2 of the month in which such production was sold until
3 such time as the title to such interest becomes
4 marketable or the holder has received an acceptable
5 affidavit of death and heirship in conformity with
6 Section 67 of Title 16 of the Oklahoma Statutes, or as
7 set forth in subparagraph b of this paragraph.
8 Marketability of title shall be determined in
9 accordance with the then current title examination
10 standards of the Oklahoma Bar Association. In no case
11 shall the interest applied under this subparagraph
12 exceed six percent (6%) per annum, calculated from the
13 end of the month in which such production is sold
14 until the day paid.

- 15 b. Where marketability has remained uncured, or the
16 holder has not been provided an acceptable affidavit
17 of death and heirship in conformity with Section 67 of
18 Title 16 of the Oklahoma Statutes, for a period of one
19 hundred twenty (120) days from the date payment is due
20 under this section, any person claiming to own the
21 right to receive proceeds which have not been paid
22 because of unmarketable title may require the holder
23 of such proceeds, or the holder of such proceeds may
24 elect, to interplead the proceeds and all accrued

1 interest into court for a determination of the persons
2 legally entitled thereto. Upon payment into court,
3 the holder of such proceeds shall be relieved of any
4 further liability for the proper payment of such
5 proceeds and interest thereon.

6 c. Subject to paragraph 8 of subsection H of this
7 section, where marketability has remained uncured and
8 a probate is required to cure, such proceeds shall not
9 earn interest pursuant to paragraphs 1 and 2 of this
10 subsection until title is cured and the payor receives
11 a file-stamped copy of the final decree from the
12 probate action.

13 d. Subject to paragraph 8 of subsection H of this
14 section, proceeds in suspense due to the filing of
15 statutory liens, or at the written request of the
16 owner, shall not earn interest pursuant to paragraphs
17 1 and 2 of this subsection from the date of the
18 statutory lien filing or written request.

19 e. Subject to paragraph 8 of subsection H of this
20 section, where such proceeds are not paid because the
21 payment was returned to the payor as undeliverable or
22 the payment check is not cashed by the owner, such
23 proceeds shall not earn interest pursuant to
24 paragraphs 1 and 2 of this subsection after the date

1 the check was mailed. The payor shall maintain
2 records of such mailing dates and copies of any
3 undeliverable envelopes and payment checks. This
4 provision shall only apply to payment checks mailed to
5 an address obtained after good faith and reasonable
6 diligence by the payor. Any payment made by
7 electronic means, as authorized by subsection G of
8 this section, that is refused by an owner shall not
9 earn interest pursuant to paragraphs 1 and 2 of this
10 subsection after the date the electronic funds
11 transfer is initiated.

12 E. 1. Except as provided in paragraph 2 of this subsection, a
13 first purchaser or holder of proceeds who fails to remit proceeds
14 from the sale of oil or gas production to owners legally entitled
15 thereto within the time limitations set forth in paragraph 1 of
16 subsection B of this section shall be liable to such owners for
17 interest as provided in subsection D of this section on that portion
18 of the proceeds not timely paid. When two or more persons fail to
19 remit within such time limitations, liability for such interest
20 shall be shared by those persons holding the proceeds in proportion
21 to the time each person held such proceeds.

22 2. When royalty proceeds on gas production are remitted
23 pursuant to subsection B of Section 570.4 of this title:
24

- 1 a. A first purchaser that causes such proceeds to be
2 received by the operator or by a producing owner in
3 the well for distribution to the royalty interest
4 owner legally entitled thereto within the first month
5 following the month in which such production was sold
6 shall not be liable for interest on such proceeds.
- 7 b. A producing owner receiving royalty proceeds that
8 causes such proceeds to be received by the royalty
9 interest owner legally entitled thereto or by the
10 operator for distribution to the royalty interest
11 owner legally entitled thereto, not later than the end
12 of the first month following the month in which
13 proceeds for such production was received by the
14 producing owner from the purchaser, shall not be
15 liable for interest on such proceeds.
- 16 c. An operator receiving royalty proceeds that causes
17 such proceeds to be received by the royalty interest
18 owner legally entitled thereto, not later than the end
19 of the first month following the month in which
20 proceeds for such production was received by the
21 operator from the purchaser or producing owner, shall
22 not be liable for interest on such proceeds.
- 23 d. Liability for interest provided in subsection D of
24 this section shall be borne solely by the person, or

1 persons, failing to remit royalty proceeds within the
2 time limitations set forth in subsection B of this
3 section. When two or more persons fail to remit
4 within such time limitations, liability for such
5 interest shall be shared by such persons in proportion
6 to the time each person held such proceeds.

7 F. Nothing in this section shall be construed to impair or
8 amend existing or future contractual rights provided for in gas
9 balancing agreements or other written agreements which expressly
10 provide for the taking, sharing, marketing or balancing of gas or
11 the proceeds therefrom. Any proceeds to be paid pursuant to any
12 such agreement shall not commence to earn interest until the sooner
13 of the time provided in such agreement for the payment of such
14 proceeds or ninety (90) days from the date of the depletion of the
15 well. Nothing herein shall be deemed to alter or limit the payment
16 of royalty proceeds as provided in the Production Revenue Standards
17 Act.

18 G. All payments under the Production Revenue Standards Act to
19 owners or any other person or governmental entity legally entitled
20 to the payment may be made by electronic means including, but not
21 limited to, electronic funds transfer, Automated Clearing House
22 (ACH), direct deposit, wire transfer, or any other similar form of
23 transfer, upon the mutual written consent of the payor and payee.
24

1 H. 1. Notwithstanding any other provision of this section,
2 where proceeds from the sale of oil or gas production, or any
3 portion thereof, together with any interest accrued thereon pursuant
4 to paragraphs 1 and 2 of subsection D of this section, remain unpaid
5 for a period of thirty-six (36) months after the date such proceeds
6 first became due under subsection B of this section and the payor
7 has had contact with the owner, the payor may remit such proceeds,
8 together with any accrued statutory interest, to the Mineral Owner's
9 Fund established pursuant to Section 553 of this title.

10 2. The Office of the State Treasurer shall establish and
11 administer a separate escrow account for the receipt and holding of
12 proceeds and any interest remitted to the Mineral Owner's Fund
13 pursuant to paragraph 1 of this subsection. Such escrow account
14 shall be maintained exclusively for proceeds and any interest due
15 under paragraphs 1 and 2 of subsection D of this section, and all
16 amounts deposited therein shall be held in trust for the benefit of
17 the owners legally entitled thereto. The escrow account shall be
18 structured in a manner substantially similar to the escrow accounts
19 established pursuant to Section 552 of this title, including
20 comparable reporting, recordkeeping, and maintenance requirements;
21 provided, however, that such escrow account shall be separate and
22 distinct from any escrow accounts established under Section 552 of
23 this title for pooled interests of persons who are unknown or cannot
24 be located. Such escrow account shall be an interest-bearing escrow

1 account maintained by the Office of the State Treasurer at a
2 federally insured bank or savings and loan institution.

3 3. Upon the transfer of an owner's proceeds and any accrued
4 interest to such escrow account, the payor shall send written notice
5 to the last-known address of the owner legally entitled to proceeds
6 under this section informing the owner such proceeds were remitted
7 to the Mineral Owner's Fund pursuant to this subsection and
8 identifying the statutory basis for such remittal.

9 4. A payor may, at its sole discretion, remit proceeds and any
10 accrued interest to the Mineral Owner's Fund pursuant to this
11 subsection as an alternative to filing an action in interpleader
12 under paragraph 2 of subsection D of this section.

13 5. Upon remittance of proceeds and any accrued interest to the
14 Mineral Owner's Fund, the payor shall be relieved of any further
15 liability for any interest and proceeds remitted under this
16 subsection, provided the payor has complied with all applicable
17 requirements of this subsection and section. The owner's source of
18 recovery for the proceeds and accrued interest remitted under this
19 subsection shall be restricted to the Mineral Owner's Fund.

20 6. Following remittance of proceeds and any accrued interest to
21 the escrow account established pursuant to paragraph 2 of this
22 subsection, the payor may continue to make subsequent payments of
23 proceeds and any accrued interest owed to the same owner by
24

1 directing such payments to the Mineral Owner's Fund for deposit into
2 such escrow account on behalf of the owner.

3 7. Nothing in this subsection shall extinguish or impair the
4 right of any person legally entitled to such proceeds and any
5 interest to claim and receive the same from the escrow account
6 established pursuant to paragraph 2 of this subsection, upon
7 submission of sufficient proof of identity and proof of ownership of
8 the interest to the Office of the State Treasurer. Such proof of
9 identity and ownership shall be the same as provided in Section
10 735:80-7-2 of the Oklahoma Administrative Code.

11 8. Notwithstanding paragraph 1 of this subsection, where
12 proceeds are held pursuant to subparagraphs c, d, or e of paragraph
13 2 of subsection D of this section, such proceeds shall be remitted
14 to the Mineral Owner's Fund within one hundred eighty (180) days
15 after the date such proceeds thereafter become due under subsection
16 B of this section.

17 I. Notwithstanding any other provision of this section, nothing
18 stated herein shall impact a payor's obligation to remit proceeds
19 due under this section pursuant to the Uniform Unclaimed Property
20 Act.

21 SECTION 2. AMENDATORY 52 O.S. 2021, Section 903, is
22 amended to read as follows:

23 Section 903. Except for the right to enforce lien rights under
24 private agreement or under Sections 548 through 549.12 of ~~Title 52~~

1 ~~of the Oklahoma Statutes~~ this title and except where specific
2 remedies are provided by private agreement, and as long as paragraph
3 1 of subsection D of Section 570.10 of ~~Title 52 of the Oklahoma~~
4 ~~Statutes~~ this title provides for an interest rate equal to or
5 greater than ~~twelve percent (12%) compounded annually~~ fifteen
6 percent (15%) per annum, the Production Revenue Standards Act shall
7 provide the exclusive remedy to a person entitled to proceeds from
8 production for failure of a holder to pay the proceeds within the
9 time periods required for payment. The interest amounts set forth
10 in subsection D of Section 570.10 of this title and the remedies set
11 forth in subsection C of Section 570.14 of ~~Title 52 of the Oklahoma~~
12 ~~Statutes~~ this title, with the term "actual damages" as used therein
13 being limited to the proceeds due and the interest as provided in
14 subsection D of Section 570.10 of ~~Title 52 of the Oklahoma Statutes~~
15 this title, are deemed to be adequate remedies for failure to pay
16 proceeds within the time periods required for payment and no other
17 penalty or damages shall be recoverable in any litigation involving
18 a claim for unpaid or underpaid proceeds from production including,
19 without limitation, punitive or exemplary damages or disgorgement
20 damages, unless there shall be a determination by the finder of fact
21 upon clear and convincing evidence that the holder who failed to pay
22 such proceeds did so with the actual, knowing and willful intent:
23 ~~(a)~~ to deceive the person to whom the proceeds were due, or ~~(b)~~ to

24

1 deprive proceeds from the person the holder knows, or is aware, is
2 legally entitled thereto.

3 SECTION 3. AMENDATORY 60 O.S. 2021, Section 658, is
4 amended to read as follows:

5 Section 658. A. Except as otherwise provided in the Uniform
6 Unclaimed Property Act, all intangible personal property, including
7 income or increment derived from the property, less any lawful
8 charges, that is held, issued, or owing in the ordinary course of a
9 holder's business and has remained unclaimed by the owner for more
10 than five (5) years after becoming payable or distributable is
11 presumed abandoned.

12 B. Holders of presumed abandoned intangible property shall
13 report annually and remit all proceeds accrued to date, including
14 the current balance held by the holder. When and if any part of the
15 proceeds has been held for the statutory abandonment period or
16 longer, the holder must report and remit all interest, additions,
17 and increments accrued to the account of the owner. Any additional
18 amounts accruing to an owner of the same intangible property
19 presumed abandoned previously reported will be reported and remitted
20 on an annual basis, including additional amounts from the "as of
21 date" of the previous report year through the "as of date" of the
22 current report year.

23 C. In no event shall mineral interest proceeds be required to
24 be reported or remitted sooner than six (6) months after the date of

1 first sale from the applicable well. Mineral interest proceeds not
2 remitted pursuant to subsection H of Section 570.10 of Title 52 of
3 the Oklahoma Statutes shall be presumed abandoned at thirty-six (36)
4 months after such proceeds were otherwise due to an owner pursuant
5 to Section 570.10 of Title 52 of the Oklahoma Statutes.

6 D. Property is payable or distributable for the purposes of
7 this act notwithstanding the owner's failure to demand the property
8 or to present an instrument or document required to receive payment
9 of the property.

10 SECTION 4. This act shall become effective November 1, 2026.

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12 60-2-3893 CN 4/14/2026 2:06:51 PM
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